

Comparative Analysis of Financial Ratios: EnergyPac vs. Baraka Power Limited

Finance Group Name - Budget Busters

Company Name: Energypac, Baraka Power Limited

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Submission Date: 06th November 2023

Table of Contents

Abstract.....	4
Introduction.....	5
Objective.....	5
Literature Review	5
Importance of Financial Ratios:.....	6
Short-Term Investments vs. Long-Term Investments	7
Short-Term Investments:.....	7
Long-Term Investments:	7
Methodology:.....	7
Data Sources:.....	8
Data Analysis:.....	8
Short-Term and Long-Term Investment Recommendations considerations:	8
Financial Ratio Analysis:.....	9
Valuation Ratios:.....	9
Efficiency Ratios:	10
Liquidity Ratios:	12
Profitability Ratios:.....	13
Short-Term and Long-Term Investment Recommendations:.....	15
Justifications:.....	16
Conclusion:	17

References.....

18

Abstract

This term paper compares the financial ratios of two companies in the energy sector, EnergyPac and Baraka Power Limited. The study is intended to help potential investors make informed judgements about short- and long-term investments. The study will assess various financial parameters and justify investment suggestions.

Keywords: Energypac, Baraka Power Limited, Short-term investment, Long-term investment, financial ratios.

Introduction

The energy sector, recognised for its dynamic and ever-changing character, has always piqued the curiosity of investors. Two prominent companies, EnergyPac and Baraka Power Limited, have emerged as viable investment choices in this effort. Making informed energy investment decisions needs a thorough grasp of a company's financial health and performance. Financial ratios are critical in this assessment because they allow investors to review and compare companies' financial data to make better-informed investment decisions. This term paper does a comparative analysis of EnergyPac and Baraka Power Limited's financial ratios to provide insights and recommendations to prospective investors.

Objective

The primary goal of this term paper is to undertake a thorough examination of EnergyPac and Baraka Power Limited's financial ratios. The research will not only go into how these ratios are calculated and interpreted, but it will also provide specific suggestions to potential investors. The purpose of this article is to help investors decide whether the company is better suited for short-term investments, and which is a better long-term investment opportunity. By the end of this paper, readers will have a better understanding of these companies' financial dynamics, allowing them to make smart investment decisions that are aligned with their financial goals.

Literature Review

Financial ratios are important in investment decisions because they provide vital information about a company's financial health and performance. They are important instruments for investors and financial analysts to use in determining a company's operational efficiency, profitability, and total value. Understanding and applying these ratios is critical for making informed investing decisions in the complicated terrain of financial markets.

Importance of Financial Ratios:

Financial ratios are vital tools for investors and financial experts. These statistics reveal important information about a company's financial health, operational efficiency, profitability, and valuation. Investors can make better-informed decisions about short-term and long-term investing plans by reviewing a variety of financial parameters. An awareness of financial ratios is essential whether one tries to capitalise on short-term market opportunities or embark on a long-term growth journey.

Financial ratios serve numerous important purposes in investment analysis:

1. **Evaluation of Profitability:** Gross margin, operating margin, and net margin ratios provide a clear picture of a company's profitability. Investors can assess how profitably a company earns revenue from its activities.
2. **Assessment of Liquidity:** The Current Ratio and Quick Ratio are liquidity ratios that reflect a company's ability to satisfy its short-term obligations. These ratios are beneficial for investors looking for stability in their short-term investments.
3. **Determination of Efficiency:** Receivables Turnover and Total Asset Turnover efficiency ratios analyze how well a company manages its assets and collects outstanding receivables. This is essential in both short and long-term investment strategies.
4. **Analysis of Solvency:** Total Debt to Total Equity and Interest Coverage ratios provide insight into a company's financial soundness. They assist investors in determining the degree of risk associated with a company's debt.
5. **Valuation Assessment:** Price-to-earnings (P/E) ratio is useful in identifying whether a company's stock is cheap or overvalued. These ratios are critical components of long-term investing plans.

6. **Decision Support:** Financial ratios serve as the cornerstone for strategic investment decisions. They allow investors to compare firms within the same industry and make decisions that are consistent with their investment objectives and risk tolerance.

Short-Term Investments vs. Long-Term Investments

Short-term and long-term investments are often classified by investors based on their objectives, risk tolerance, and investment horizon:

Short-Term Investments: These are usually kept for a shorter period, often less than a year. Short-term investors seek to capitalize on market opportunities or safeguard wealth. Short-term investments prioritize liquidity, safety, and the possibility of immediate rewards.

Long-Term Investments: Long-term investments are intended to be held for a longer period, often many years or more. Long-term investors attempt to increase their wealth over time. Long-term investment decisions must include stability, growth potential, and valuation.

Short-term vs long-term investments are influenced by a variety of factors, including the investor's financial goals, risk tolerance, and market conditions. In the instance of EnergyPac and Baraka Power Limited, this article will examine their financial ratios and make recommendations for both short-term and long-term investments, as well as providing arguments for each.

Methodology:

The methodology used in this research covers the process of data gathering and analysis to guarantee the results are transparent and reproducible. Data gathering must be accurate and dependable to undertake a meaningful comparative analysis of financial ratios.

Data Sources:

Financial data for EnergyPac and Baraka Power Limited were collected from the Wall Street Journal (WSJ) website, a respected source of financial information, for this study. The following are the specific URLs used to collect financial data::

EnergyPac Financial Data:

<https://www.wsj.com/marketdata/quotes/BD/XDHA/EPGL/financials>

Baraka Power Limited Financial Data:

<https://www.wsj.com/marketdata/quotes/BD/XDHA/BARKAPOWER/financials>

Financial data was extracted for a consistent time frame to ensure meaningful comparisons.

Data Analysis:

A methodical approach was used to analyze the acquired financial data. For both EnergyPac and Baraka Power Limited, various financial ratios were calculated and reviewed. Valuation, efficiency, liquidity, profitability, and capital structure ratios are examples of these ratios. The examination focuses on the financial health and performance of each organization in four key categories.

Short-Term and Long-Term Investment Recommendations considerations:

Financial ratio analysis can help potential investors make short-term and long-term investment decisions. When formulating these recommendations, the following variables were considered:

Valuation Ratios: To examine the companies' present market position, the P/E ratio and other valuation metrics were used.

Liquidity and Efficiency Ratios: To measure the companies' short-term financial stability and operational effectiveness, the current ratio, quick ratio, receivables turnover, and total asset turnover were examined.

Profitability Ratios: The current ratio, quick ratio, receivables turnover, and total asset turnover were assessed to assess the company's short-term financial stability and operational efficacy.

Growth and Stability: When providing recommendations, the companies' growth prospects and stability were also considered.

Financial Ratio Analysis:

In this section, we will examine the financial ratios of EnergyPac and Baraka Power Limited in depth. The financial ratios are divided into numerous categories, such as valuation, efficiency, liquidity, profitability, and capital structure. The research will provide a more complete picture of each company's financial health and performance.

Valuation Ratios:

To evaluate a company's position in the market and determine if its stock is overvalued or undervalued, valuation ratios are crucial. Now let's look at EnergyPac and Baraka Power Limited's valuation ratios:

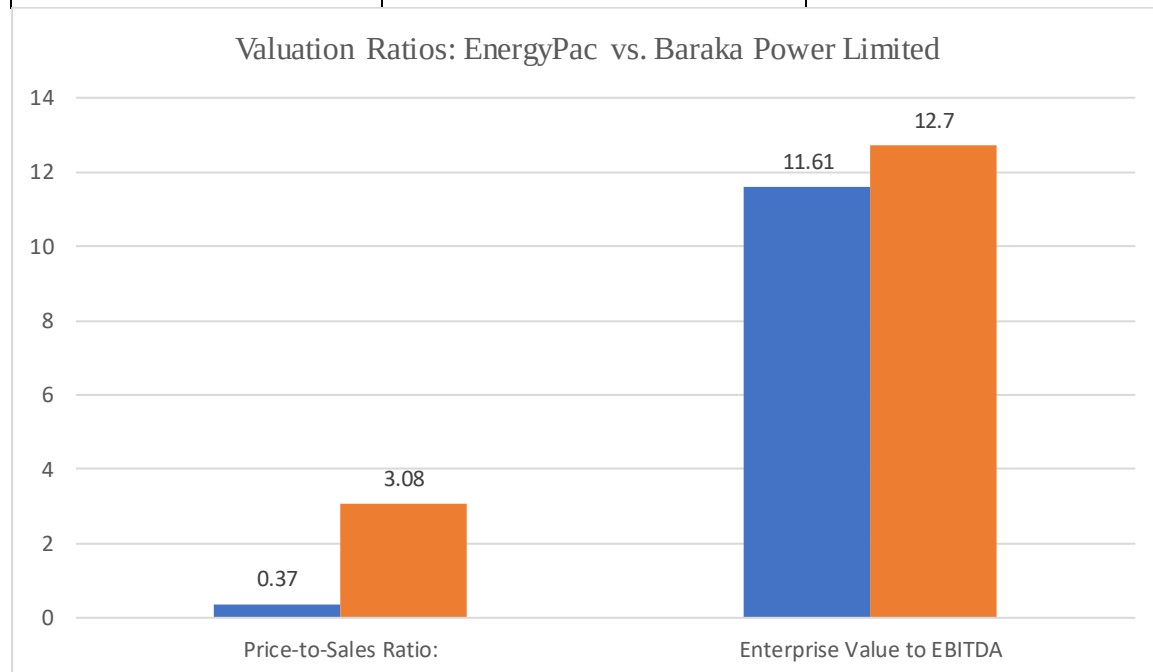
Price-to-Sales Ratio: The market price per share is divided by the sales per share to get the price-to-sales ratio. With a price-to-sales ratio of 0.37, EnergyPac charges investors \$0.37 for each dollar of sales. Baraka Power Limited, on the other hand, has a greater price-to-sales ratio of 3.08.

Enterprise Value to EBITDA: The entire enterprise value of a company's Earnings Before Interest, Taxes, Depreciation, and Amortisation (EBITDA) is taken into account by the

Enterprise Value to EBITDA ratio. Baraka Power Limited's ratio is 12.70, whilst EnergyPac's is 11.61.

Price to sales and enterprise value to EBITDA ratios are examples of valuation ratios that offer insightful information about a company's position in the market. When compared to Baraka Power Limited, EnergyPac's stock may be undervalued due to its lower price-to-sales. But alone, these ratios can't offer comprehensive investing advice.

	EnergyPac	Baraka Power Limited
Price-to-Sales Ratio	0.37	3.08
Enterprise Value to EBITDA	11.61	12.70



Efficiency Ratios:

Efficiency ratios evaluate how well a business uses its assets and resources to create income.

Let's look at both businesses' efficiency ratios:

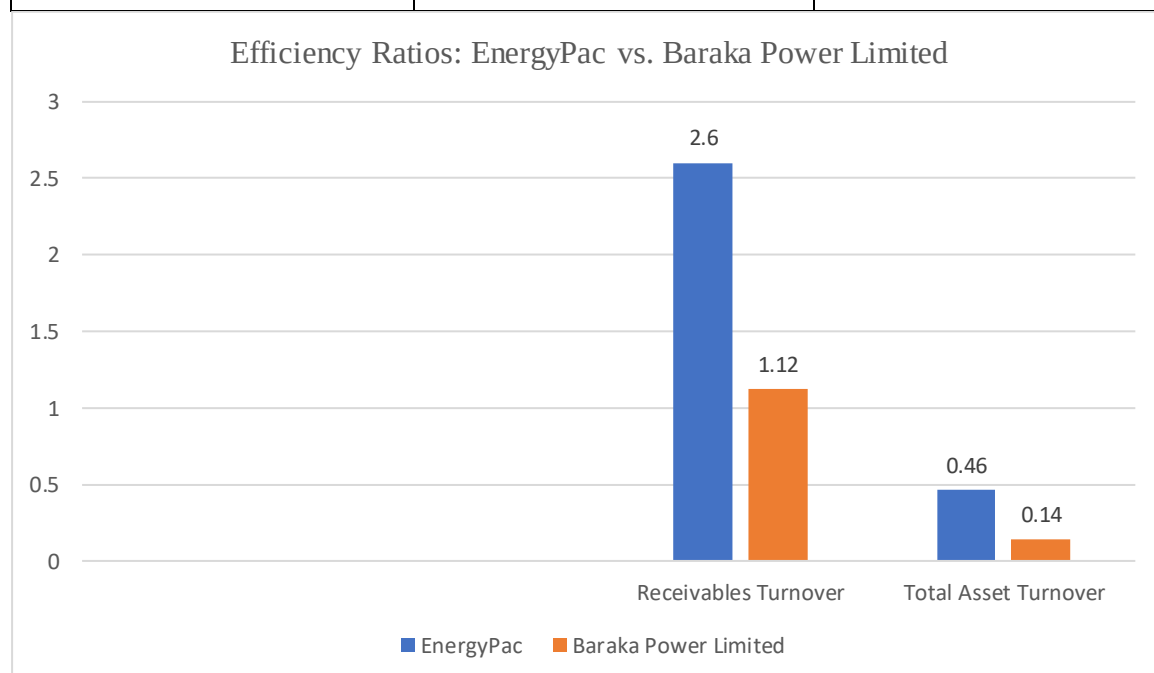
Receivables Turnover: The speed at which an organisation collects delinquent accounts is gauged by the receivables turnover ratio. EnergyPac collects receivables roughly 2.60 times a year, as indicated by its 2.60 receivables turnover. Baraka Power Limited, on the other hand, has a lower ratio of 1.12.

Total Asset Turnover: The effectiveness with which a business generates revenue from its assets is gauged by the total asset turnover ratio. The ratio for EnergyPac is 0.46, whilst the ratio for Baraka Power Limited is less at 0.14.

Efficiency ratios are essential for assessing how well a business uses its resources.

EnergyPac's total asset turnover and Receivable Turnover both are high, which means it is more efficient in using its assets and resources than Baraka Power Limited.

	EnergyPac	Baraka Power Limited
Receivables Turnover	2.60	1.12
Total Asset Turnover	0.46	0.14



Liquidity Ratios:

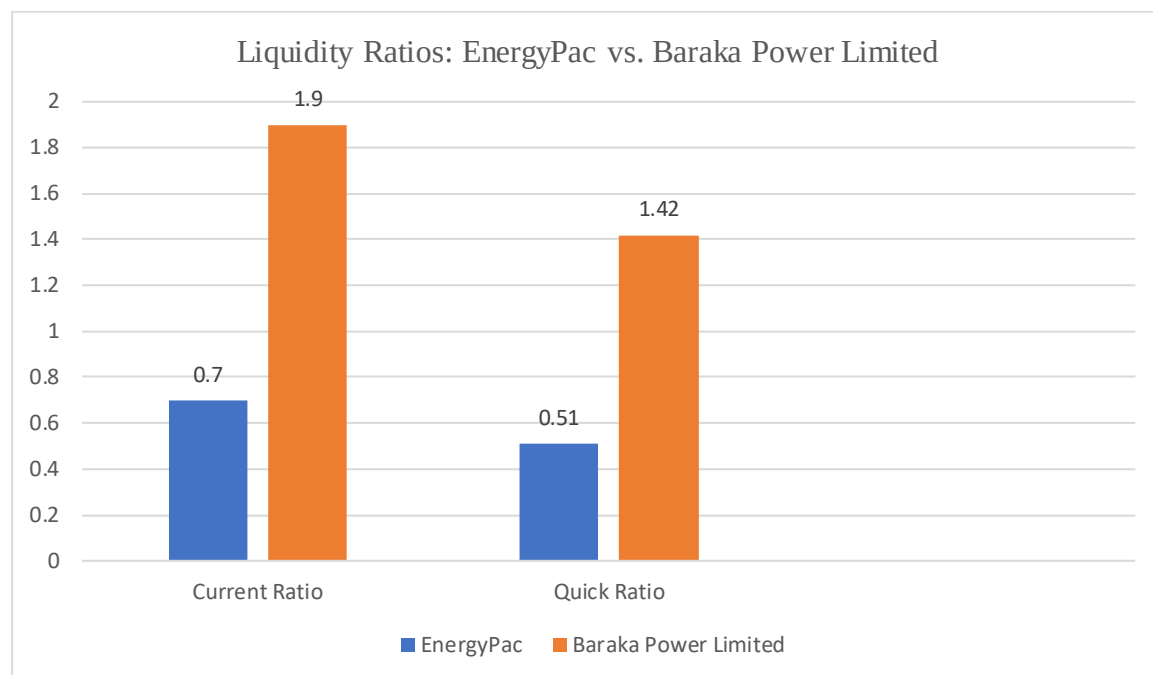
To evaluate a company's capacity to fulfil its immediate financial obligations, liquidity levels are crucial. Now let's look at EnergyPac and Baraka Power Limited's liquidity ratios:

Current Ratio: By dividing a company's current assets by its current liabilities, one may find the current ratio. EnergyPac has a current ratio of 0.70, meaning that for every dollar in current liabilities, it has \$0.70 in current assets. Baraka Power Limited, on the other hand, has a greater current ratio of 1.90, indicating a more secure short-term financial condition.

Quick Ratio: The quick ratio, which separates inventories from current assets, is a more strict measure of liquidity. Baraka Power Limited has a far higher quick ratio (1.42) than EnergyPac (0.51).

Quick and current ratios are examples of liquidity ratios that offer information on a company's short-term financial soundness. The current, quick ratios of Baraka Power Limited are greater than those of EnergyPac, indicating a stronger liquidity position. This implies that Baraka Power Limited has a greater capability to fulfil its immediate financial commitments.

	EnergyPac	Baraka Power Limited
Current Ratio	0.70	1.90
Quick Ratio	0.51	1.42



Profitability Ratios:

Investors can evaluate a company's capacity to turn a profit from its operations with the aid of profitability ratios. Let's look into EnergyPac and Baraka Power Limited's profitability ratios:

Gross Margin: The percentage of income that is left over after deducting the cost of products sold is known as the gross margin. The gross margin of Baraka Power Limited is greater than that of EnergyPac, at +26.00%, with a gross margin of +15.69%.

Operating Margin: The percentage of revenue that remains after accounting for operating expenses is determined by the operating margin. Baraka Power Limited has an operating margin of +20.83%, compared to +9.97% for EnergyPac.

Net Margin: The percentage of revenue that is left over after all costs, including interest and taxes, are deducted is known as the net margin. Baraka Power Limited has a greater net margin (+27.65%) than EnergyPac, which is +0.35%.

Return on Assets (ROA): ROA gauges how profitable a business can make use of its assets.

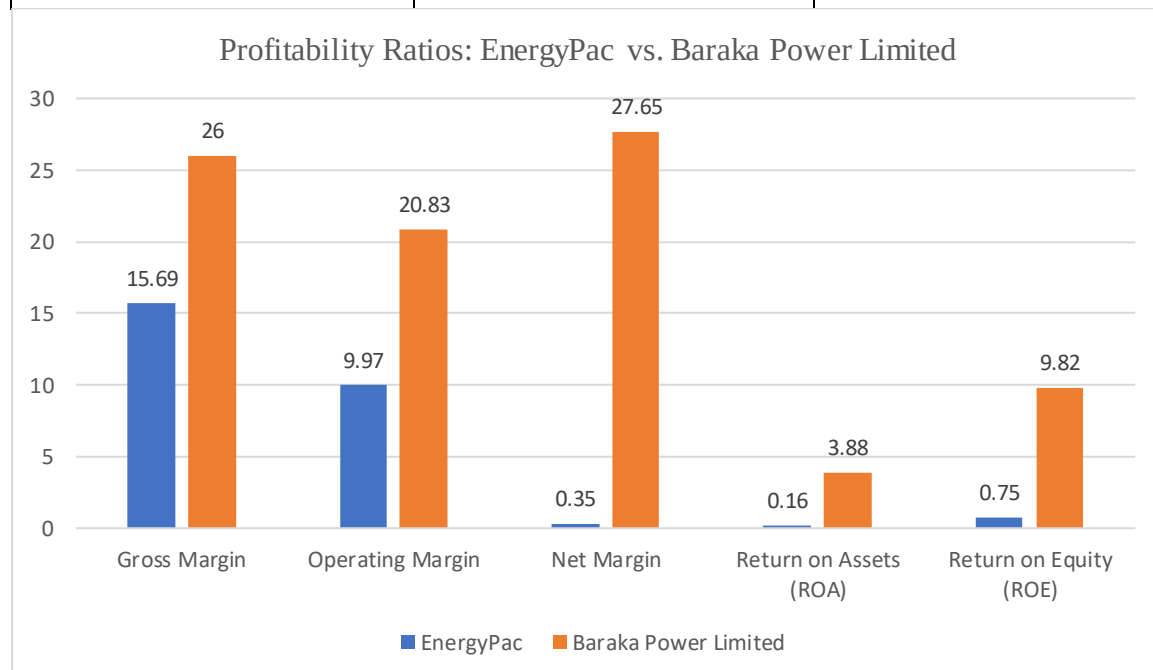
Baraka Power Limited's ROA is higher at 3.88% than that of EnergyPac, which is 0.16%.

Return on Equity (ROE): A company's profitability is evaluated by ROE about

shareholders' equity. The return on equity (ROE) of Baraka Power Limited is substantially better than that of EnergyPac, at 9.82% compared to 0.75%

Ratios that measure profitability, like net margin, ROA, ROE, gross margin, and operating margin, reveal how well a business makes money. In these areas, Baraka Power Limited is more profitable, as seen by its significantly greater margins and returns on equity and assets.

	EnergyPac	Baraka Power Limited
Gross Margin	+15.69	+26.00
Operating Margin	+9.97	+20.83
Net Margin	+0.35	+27.65
Return on Assets (ROA)	0.16	3.88
Return on Equity (ROE)	0.75	9.82



Short-Term and Long-Term Investment Recommendations:

An understanding of EnergyPac and Baraka Power Limited's financial performance and well-being has been gained via the examination of their financial ratios. For both short- and long-term investments, we will provide precise advice to help potential investors make well-informed selections.

Short-Term Investment Recommendation: When looking at the profitability, efficiency, and liquidity statistics, Baraka Power Limited makes more sense as a short-term investment choice. The following are the main ideas behind this advice:

Liquidity Strength.: Compared to EnergyPac, Baraka Power Limited has better current, quick, and cash ratios, indicating a solid liquidity position. By doing this, Baraka Power Limited is guaranteed to be ready to fulfil its immediate financial obligations.

Profitability: Stronger profitability is demonstrated by Baraka Power Limited, which has higher net, operating, and gross margins. These metrics point to the business's potential for making a profit, which is an important factor to take into account while making short-term investments.

Lower Risk Exposure: The shorter-term investment risk connected with debt commitments is reduced by Baraka Power Limited's more cautious capital structure, which also has lower debt ratios and improved interest coverage.

Long-Term Investment Recommendation: EnergyPac is a strong choice for investors looking for long-term growth and stability for the following reasons:

Valuation Metrics.: In comparison to Baraka Power Limited, EnergyPac shows lower valuation ratios, such as price-to-sales indicating that its stock might be cheap. For long-term investors looking for entry points at competitive valuations, this is a positive situation.

Potential for Growth. Baraka Power Limited exhibits efficiency and profitability, while EnergyPac's financial structure and valuation measures provide a long-term basis for prospective growth and stability.

Market Positioning. EnergyPac may be well-positioned to take advantage of future growth prospects in the energy sector given its financial ratios and strategic outlook. EnergyPac is the pioneer of the energy sector in Bangladesh compared to not only Baraka Power Limited but also other Bangladeshi companies, which gives them first mover advantage and additional experience in this sector. And, as compared to Baraka Power Limited, they have better recognition in the industry which is a considerable factor when investing for the long term.

Justifications:

Baraka Power Limited is a recommended short-term investment due to its profitability, and excellent liquidity position. It is more appropriate for investors looking to take advantage of current market possibilities because of these qualities.

Based on EnergyPac's favourable growth potential, excellent efficiency ratio, Low Valuation Metrics, and tactical positioning within the energy industry, a long-term investment recommendation is made. These are the kinds of things that long-term investors want: steady growth and value increase over a longer period.

Finally, the recommendations are meant to serve as a reference for investors depending on their time horizons, risk tolerance, and investment goals. Before investing, investors should perform more due diligence while taking the state of the market, their financial goals, and qualitative elements into account.

Conclusion:

Potential energy sector investors might learn a lot from the comparison of the financial ratios for EnergyPac and Baraka Power Limited.

The decision between long-term and short-term investments ultimately comes down to the personal financial objectives, risk tolerance, and investment horizons of each investor.

EnergyPac and Baraka Power Limited both have unique benefits, and the suggestions are meant to help investors match their investments with their goals.

When making investing decisions, investors are advised to carry out more research, take qualitative aspects into account, keep up with market developments, and consult a professional advisor. Even though they are useful, financial ratios are just one aspect of the larger world of investing.

This term paper offers a thorough analysis and suggestions based on the financial data that is at hand. Investors must maintain vigilance, adjust to shifting conditions, and make choices about their investments that are consistent with their changing financial goals.

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